



CENTUM INVESTMENT COMPANY LIMITED

INTERIM FINANCIAL STATEMENTS

FOR THE SIX MONTH PERIOD ENDED 30 SEPTEMBER 2012

Table of content

Statement of directors' responsibilities	1
--	---

Interim Financial Statements:

Condensed consolidated statement of comprehensive income	2
Condensed company statement of comprehensive income	3
Condensed consolidated statement of financial position	4
Condensed company statement of financial position	5
Condensed consolidated statement of changes in equity	6
Condensed company statement of changes in equity	7
Condensed consolidated statement of cash flows	8
Notes	9 - 18
Appendices	19 - 20

The Capital Markets (Securities)(Public offers, listing and disclosures) Regulations, 2002, requires the directors to prepare interim financial statements every six months that give a true and fair view of the state of affairs of the Group and of the Company as at the end of the period and of the Group's profit or loss. It also requires the directors to ensure that the Group keeps proper accounting records that disclose, with reasonable accuracy, the financial position of the Group. They are also responsible for safeguarding the assets of the Group.

The directors accept responsibility for the interim financial statements, which have been prepared using appropriate accounting policies supported by reasonable estimates, in conformity with International Financial Reporting Standards. The directors are of the opinion that the interim financial statements give a true and fair view of the state of the financial affairs of the Group and of the Company and of the Group's and Company's profit in accordance with International Financial Reporting Standards. The directors further accept responsibility for the maintenance of accounting records that may be relied upon in the preparation of interim financial statements, as well as designing, implementing and maintaining internal control relevant to the preparation and fair presentation of financial statements that are free from material misstatement.

Nothing has come to the attention of the directors to indicate that the Group will not remain a going concern for at least twelve months from the date of this statement.

James Mworia

James Muguiyi

13 November 2012

Condensed consolidated statement of comprehensive income

	Notes	Period ended 30 September	
		2012 Kshs'000	2011 Kshs'000
Income	4	749,296	728,352
Expenses			
Administrative expenses		(85,567)	(90,505)
Operating expenses		(40,219)	(66,441)
Finance costs		(102,799)	(42,485)
		(228,585)	(199,431)
Share of profits of associate companies		316,135	299,001
Profit before tax		836,846	827,922
Income tax expense		(31,215)	(34,745)
Profit for the period		805,631	793,177
Other comprehensive income for the period			
Reserves released on disposal of investments		(205,046)	(531,415)
Share of other comprehensive (loss)/income of associates		(10,214)	59,540
Fair value gain in unquoted investments		85,743	185,548
Fair value gain /(loss) in quoted investments		275,569	(338,865)
Currency translation differences		(4,005)	218,409
Total other comprehensive income /(loss)		142,047	(406,783)
Total comprehensive income		947,678	386,394
Earnings per share		1.21	1.19

Condensed company statement of comprehensive income

	Notes	Period ended 30 September	
		2012 Kshs'000	2011 Kshs'000
Income	4	549,615	522,904
Expenses			
Administrative expenses		(80,850)	(85,545)
Operating expenses		(37,591)	(45,000)
Finance costs		(5,479)	(42,457)
		(123,920)	(173,002)
Profit before income tax		425,695	349,902
Income tax expense		(11,622)	(34,745)
Profit for the period		414,073	315,157
Other comprehensive income for the period			
Reserves released on disposal of investments		(168,609)	(96,309)
Fair value gain in subsidiaries		239,090	127,848
Fair value loss in associates		(431,324)	(275,064)
Fair value gain in unquoted investments		85,744	185,548
Fair value gain/ (loss) in quoted investments		209,030	(324,621)
Total other comprehensive loss		(66,069)	(382,598)
Total comprehensive income/ (loss)		348,004	(67,441)

Condensed consolidated statement of financial position

	Notes	At 30 September 2012 Kshs'000	At 31 March 2012 Kshs'000
Assets			
Deferred income tax		271	-
Investment property		4,228,815	3,992,754
Motor vehicle and equipment		34,358	26,467
Intangible assets		1,387	1,926
Investment in associates	5	4,056,650	3,614,550
Unquoted investments		1,560,714	1,427,206
Quoted investments		1,614,489	1,666,309
Corporate bonds at fair value through profit or loss		357,568	480,000
Receivables and prepayments		177,342	36,079
Bank balances	6	3,408,464	322,410
		<u>15,440,058</u>	<u>11,567,701</u>
Capital and reserves attributable to the Company's equity holders			
Share capital		332,721	332,721
Share premium		589,753	589,753
Investment revaluation reserve		1,878,245	1,736,198
Retained earnings		8,188,201	7,382,570
Total equity		<u>10,988,920</u>	<u>10,041,242</u>
Liabilities			
Borrowings	7	4,149,287	1,000,000
Payables and accrued expenses		114,499	355,956
Current income tax		17,541	5,114
Unclaimed dividends		33,901	34,437
Deferred income tax		135,910	130,952
		<u>4,451,138</u>	<u>1,526,459</u>
		<u>15,440,058</u>	<u>11,567,701</u>

Condensed company statement of financial position

	Notes	At 30 September 2012 Kshs'000	At 31 March 2012 Kshs'000
Assets			
Deferred income tax		271	5,150
Current income tax		1,866	-
Motor vehicle and equipment		34,358	26,467
Intangible assets		1,387	1,926
Investment in subsidiaries		2,024,046	1,784,954
Due from subsidiaries		3,840,396	3,104,780
Investment in associates	5	7,058,527	7,128,721
Unquoted investments		1,560,714	1,427,206
Quoted investments		997,100	1,289,540
Corporate bonds at fair value through profit or loss		116,878	480,000
Receivables and prepayments		148,368	155,344
Cash and cash equivalents	6	3,391,654	317,340
		<u>19,175,565</u>	<u>15,721,428</u>
Capital and reserves			
Share capital		332,721	332,721
Share premium		589,753	589,753
Investment revaluation reserve		8,726,920	8,792,989
Retained earnings		4,384,074	3,970,001
Total equity		<u>14,033,468</u>	<u>13,685,464</u>
Non-current liabilities			
Borrowings	7	4,149,287	1,000,000
Payables and accrued expenses		112,737	134,078
Current income tax		-	5,146
Due to subsidiaries		846,172	862,303
Unclaimed dividends		33,901	34,437
		<u>5,142,097</u>	<u>2,035,964</u>
		<u>19,175,565</u>	<u>15,721,428</u>

Condensed consolidated statement of changes in equity

	Share capital Kshs'000	Share premium Kshs'000	Investment revaluation reserve Kshs'000	Retained earnings Kshs'000	Total equity Kshs'000
Period ended 30 September 2011					
At 1 April 2011	302,474	589,753	2,443,738	6,223,412	9,559,377
Comprehensive income					
Profit for the period	-	-	-	793,177	793,177
Total other comprehensive loss	-	-	(406,783)	-	(406,783)
Total comprehensive income	-	-	(406,783)	793,177	368,394
At 30 September 2011	302,474	589,753	2,036,955	7,016,589	9,945,771
Period ended 30 September 2012					
At 1 April 2012	332,721	589,753	1,736,198	7,382,570	10,041,242
Comprehensive income					
Profit for the period	-	-	-	805,631	805,631
Total other comprehensive income	-	-	142,047	-	142,047
Total comprehensive income	-	-	142,047	805,631	947,678
At 30 September 2012	332,721	589,753	1,878,245	8,188,201	10,988,920

Condensed company statement of changes in equity

	Share capital Kshs'000	Share premium Kshs'000	Investment revaluation reserve Kshs'000	Retained earnings Kshs'000	Total equity Kshs'000
Period ended 30 September 2011					
At 1 April 2011	302,474	589,753	8,106,034	3,554,106	12,552,367
Comprehensive income					
Profit for the period	-	-	-	315,157	315,157
Total other comprehensive loss	-	-	(382,598)	-	(382,598)
Total comprehensive loss	-	-	(382,598)	315,157	(67,441)
At 30 September 2011	302,474	589,753	7,723,436	3,869,263	12,484,926
Period ended 30 September 2012					
At 1 April 2012	332,721	589,753	8,792,989	3,970,001	13,685,464
Comprehensive income					
Profit for the period	-	-	-	414,073	414,073
Total other comprehensive loss	-	-	(66,069)	-	(66,069)
Total comprehensive income	-	-	(66,069)	414,073	348,004
At 30 September 2012	332,721	589,753	8,726,920	4,384,074	14,033,468

Condensed consolidated statement of cash flows¹

	Period ended 30 September	
	2012	2011
	Kshs'000	Kshs'000
Cash flows from operating activities		
Cash used in operations	(263,629)	(82,583)
Interest paid	(102,799)	(42,485)
Income tax paid	(13,910)	(1,151)
Dividends received from associates	224,951	196,679
Net cash (used in)/ generated from operating activities	(155,387)	70,460
Cash flows from investing activities		
Purchase of investment property	(91,061)	(38,574)
Purchases of motor vehicle and equipment	(10,102)	(1,076)
Purchases of intangible assets	(180)	(258)
Purchase of shares in associates	(361,130)	(15,266)
Purchase of unquoted equity investments	(53,712)	(23,488)
Purchase of quoted equity investments	(363,600)	(96,532)
Purchase of corporate bonds	(298,668)	(2,793,644)
Proceeds from disposal of quoted investments	739,804	3,520,297
Proceeds from disposal of unquoted investments	5,947	33,241
Proceeds from disposal of bonds	529,397	-
Net cash generated from investing activities	96,695	584,700
Cash flows from financing activities		
Proceeds from borrowings	3,149,287	-
Unclaimed dividends paid during the year	(536)	(527)
Net cash generated from / (used in) financing activities	3,148,751	(527)
Net increase in cash and cash equivalents	3,090,059	654,633
Movement in cash and cash equivalents		
At start of the period	322,410	(981,204)
Increase	3,090,059	654,633
Exchange (losses)/gains from cash and cash equivalents	(4,005)	218,409
Cash and cash equivalents at end of period	3,408,464	(108,162)

¹ Refer to Appendix 1 for the Statement of Cash Flows presented in conformity with Centum Investment Company Limited's business model

Notes

1 BASIS OF PREPARATION

The financial statements have been prepared in accordance with the requirements of the 5th schedule of the Capital Markets (Securities) (Public offers, listing and disclosures) Regulations, 2002 and International Accounting Standard No. 34.

2 SIGNIFICANT ACCOUNTING POLICIES

The interim financial statements are prepared in compliance with International Financial Reporting Standards (IFRS). The interim financial statements have been prepared under the historical cost convention, as modified by the revaluation of investment properties, available for sale financial assets and assets at fair value through profit or loss. The financial statements are presented in Kenyan Shillings (Kshs), rounded to the nearest thousand.

The preparation of the interim financial statements in conformity with IFRS requires the use of certain critical accounting estimates. It also requires management to exercise its judgement in the process of applying the Group's accounting policies.

The accounting policies, presentation, critical accounting estimated and judgments used in preparing these interim financial statements are consistent with those applied in the audited consolidated financial statements for the year ended 31 March 2012.

3 SEGMENT INFORMATION

The Group's chief operating decision maker is the executive management committee. The Group organises its activity by business lines and these are defined as the Group's reportable segments under IFRS 8, Operating Segments. The three business lines are; Private Equity, Quoted Equity and Real Estate & Infrastructure. Performance is reviewed from a total return perspective.

Total return

Total return is the total value created in the period which includes cash value as well as unrealised movements in the portfolio. Total return is calculated as the gross portfolio return less portfolio and funding costs. Total return is expressed in absolute amount or as a percentage of opening portfolio value in the period.

Gross portfolio return

Gross portfolio return is equivalent to "revenue" for the purposes of IAS 1. It represents the overall increase in net assets from the investment portfolio. Gross return is analysed into the following components:

Portfolio income

Portfolio Income is that portion of income that is directly related to the return from individual investments. It is recognised to the extent that it is probable that there will be economic benefit and the income can be reliably measured. Portfolio income includes; dividend income, interest income, rental income as well as fee income.

- **Dividend income** from investment in associates is included as portfolio income.

For the Group dividend income, the equity method of accounting is not applied and as such dividends received from associate investments are incorporated.

Notes (continued)

3 SEGMENT INFORMATION (continued)

- **Realised profits on the disposal of investments** are the difference between the fair value of the consideration received less any directly attributable costs, on the sale of equity, and its carrying value at the start of the accounting period.

Although the net realised gains are similar to those in the statement of comprehensive income (SCI), the disclosure differs under the Group's segment reporting.

In the SCI, the difference between the sales proceeds and cost of the investments are accounted for in profit or loss, while the difference between the gains and the opening fair value is then disclosed under other comprehensive income as reserves released on disposal of investments.

- **Unrealised profits on the revaluation of investments** are the movement in the carrying value of investments between the start and end of the accounting year.

Under the Group's segment reporting, there is no differentiation between fair value through profit or loss and fair value through other comprehensive income. All value movements are passed through the statement of total return.

Portfolio costs

Portfolio costs include all expenses, operating and administrative incurred in the furtherance of investment activity during the accounting period.

Portfolio value

Portfolio value includes the carrying value of equity investments as well as marketable securities.

The segment information provided to the executive management committee for the reportable segments for the period ended 30 September 2012 is as below.

All revenue is from external sources.

Notes (continued)

3 SEGMENT INFORMATION (continued)

(a) Group	Private equity	Quoted equity	Real estate & infrastructure	Total
Period ended 30 September 2012	Kshs'000	Kshs'000	Kshs'000	Kshs'000
Dividend income	191,032	51,292	-	242,324
Interest income	-	72,736	-	72,736
Other income	69,484	-	3,693	73,177
Realized gains	1,778	97,934	-	99,712
Unrealised value movements	254,092	324,440	140,997	719,529
Gross return	516,386	546,402	144,690	1,207,478
Finance costs	-	-	(102,799)	(102,799)
Portfolio costs	(55,523)	(26,972)	(43,291)	(125,786)
	(55,523)	(26,972)	(146,090)	(228,585)
Net return	460,863	519,430	(1,400)	978,893
Tax	(3,170)	(23,726)	(4,319)	(31,215)
Total return	457,693	495,704	(5,719)	947,678
Gross return (%)	10.4%	22.1%	5.6%	12.0%
Total return (%)	9.2%	20.0%	(0.2%)	9.4%
Opening net asset value:				
Portfolio value	5,041,756	2,146,309	3,992,754	11,180,819
Other net asset/(liabilities)	(76,965)	327,880	(390,492)	(139,577)
Borrowings	-	-	(1,000,000)	(1,000,000)
	4,964,791	2,474,189	2,602,262	10,041,242
Closing net asset value:				
Portfolio value	5,617,365	1,972,055	4,228,815	11,818,235
Other net asset/(liabilities)	1,294,480	250,100	1,775,392	3,319,972
Borrowings	(1,270,737)	-	(2,878,550)	(4,149,287)
	5,641,108	2,222,155	3,125,657	10,988,920
Value movement in the period/(total return)				947,678

Notes (continued)

3 SEGMENT INFORMATION (continued)

(b) Group (continued)	Private equity	Quoted equity	Real estate & infrastructure	Total
Period ended 30 September 2011	Kshs'000	Kshs'000	Kshs'000	Kshs'000
Dividend income	233,229	65,927		299,156
Interest income	-	18,071	-	18,071
Other income	23,925	-	3,194	27,119
Realized gains		32,361	-	32,361
Unrealised value movements	364,320	(338,866)	218,409	243,863
Gross return	621,474	(222,507)	221,603	620,570
Finance costs	-	(2,378)	(40,107)	(42,485)
Portfolio costs	(82,391)	(43,690)	(30,865)	(156,946)
	(82,391)	(46,068)	(70,972)	(199,431)
Net return	539,083	(268,575)	150,631	421,139
Tax	(18,788)	(11,651)	(4,306)	(34,745)
Total return	520,295	(280,226)	146,325	386,394
Gross return (%)	13.3%	(5.6%)	23.4%	6.5%
Total return (%)	11.1%	(7.1%)	15.5%	4.0%
Opening net asset value:				
Portfolio value	4,715,969	3,723,790	3,525,578	11,965,337
Other net asset/(liabilities)	(47,038)	219,996	(590,938)	(417,980)
Borrowings	-	-	(1,987,980)	(1,987,980)
	4,668,931	3,943,786	946,660	9,559,377
Closing net asset value:				
Portfolio value	5,068,890	2,757,715	3,902,820	11,729,425
Other net asset/(liabilities)	14,338	372,985	(719,090)	(331,767)
Borrowings	-	(81,310)	(1,370,577)	(1,451,887)
	5,083,228	3,049,390	1,813,153	9,945,771
Value movement in the period/(total return)				386,394

Notes (continued)

3 SEGMENT INFORMATION (continued)

(c) Company	Private equity	Quoted equity	Real estate & infrastructure	Total
Period ended 30 September 2012	Kshs'000	Kshs'000	Kshs'000	Kshs'000
Dividend income	191,033	36,018	-	227,051
Interest income	-	61,784	-	61,784
Other income	3,660	557	-	4,217
Realized gains	-	73,077	-	73,077
Unrealised value movements	(345,581)	420,923	42,075	117,417
Gross return	(150,888)	592,359	42,075	483,546
Finance costs	-	-	(5,479)	(5,479)
Portfolio costs	(52,745)	(26,891)	(38,805)	(118,441)
	(52,745)	(26,891)	(44,284)	(123,920)
Net return	(203,633)	565,468	(2,209)	359,626
Tax	(8,875)	(1,667)	(1,080)	(11,622)
Total return	(212,508)	563,801	(3,289)	348,004
Gross return (%)	(1.8%)	23.9%	1.6%	3.5%
Total return (%)	(2.5%)	22.8%	(0.1%)	2.5%
Opening net asset value:				
Portfolio value	8,555,814	2,145,791	3,992,813	14,694,418
Other net assets	53,246	327,938	(390,138)	(8,954)
Borrowings	-	-	(1,000,000)	(1,000,000)
	8,609,060	2,473,729	2,602,675	13,685,464
Closing net asset value				
Portfolio value	8,619,240	2,035,542	4,226,593	14,881,375
Other asset/(liabilities)	1,337,237	186,172	1,777,971	3,301,380
Borrowings	(1,270,737)	-	(2,878,550)	(4,149,287)
	8,685,740	2,221,714	3,126,014	14,033,468
Value movement in the period/(total return)				348,004

Notes (continued)

3 SEGMENT INFORMATION (continued)

(d) Company (continued)	Private equity	Quoted equity	Real estate & infrastructure	Total
Period ended 30 September 2011	Kshs'000	Kshs'000	Kshs'000	Kshs'000
Dividend income	233,229	64,886	-	298,115
Interest income	-	11,071	7,000	18,071
Rental Income		-	1,998	1,998
Other income	23,750	-	-	23,750
Realized gains	-	84,660	-	84,660
Unrealised value movements	(92,753)	(401,936)	208,401	(286,288)
Gross return	164,226	(241,319)	217,399	140,306
Finance costs	-	(2,378)	(40,079)	(42,457)
Portfolio costs	(71,041)	(31,877)	(27,627)	(130,545)
	(71,041)	(34,255)	(67,706)	(173,002)
Net return	93,185	(275,574)	149,693	(32,696)
Tax	(18,788)	(11,651)	(4,306)	(34,745)
Total return	74,397	(287,225)	145,387	(67,441)
Gross return (%)	2.1%	(6.1%)	23.0%	1.1%
Total return (%)	0.9%	(7.3%)	15.4%	(0.5%)
Opening net asset value:				
Portfolio value	7,571,499	3,939,975	2,951,418	14,462,892
Other net assets	90,419	4,039	(17,003)	77,455
Borrowings	-	-	(1,987,980)	(1,987,980)
	7,661,918	3,944,014	946,435	12,552,367
Closing net asset value				
Portfolio value	7,487,059	2,759,607	3,904,120	14,150,786
Other asset/(liabilities)	135,322	371,194	(720,489)	(213,973)
Borrowings	-	(81,310)	(1,370,577)	(1,451,887)
	7,622,381	3,049,491	1,813,054	12,484,926
Value movement in the period/(total return)				(67,441)

Notes (continued)

3 SEGMENT INFORMATION (continued)

(e) Reconciliation of total return to profit after tax for the year

	GROUP	
	Period ended 30 September	
	2012	2011
	Kshs'000	Kshs'000
Total return as per internal reporting	947,678	386,394
<u>Adjustments for:</u>		
Share of associate earnings	316,135	299,001
Share of other comprehensive income of associates	(10,214)	59,540
Associate dividend income	(137,542)	(179,769)
Unrealised value movements net of dividend relating to associates	(168,379)	(178,772)
Total comprehensive income	947,678	386,394
Other comprehensive income	(142,047)	406,783
Profit for the period	805,631	793,177

(f) Reconciliation of gross return to total income

Gross return as per internal reporting	1,207,478	620,570
<u>Adjustments for:</u>		
Associate dividend income	(137,542)	(179,769)
Unrealised value movements net of dividend relating to associates	(168,379)	(178,772)
Items dealt with on other comprehensive income in the financial statements:		
Reserves released on disposal of investments	205,046	531,415
Fair value gain in unquoted securities	(275,569)	338,865
Fair value gain in quoted securities	(85,743)	(185,548)
Currency translation differences	4,005	(218,409)
Total income for the period	749,296	728,352

(g) Other segment reporting disclosures

	Private equity	Quoted equity	Real estate & infrastructure	Total
	Kshs'000	Kshs'000	Kshs'000	Kshs'000
Group				
Period ended 30 September 2012				
Depreciation and amortisation	799	1,066	1,066	2,931
Motor vehicle and equipment	9,370	12,494	12,494	34,358
Intangible assets	379	504	504	1,387
Additions to motor vehicle and equipment	2,754	3,694	3,694	10,142
Additions to intangible assets	50	65	65	180

Notes (continued)

3 SEGMENT INFORMATION (continued)

(h) Other segment reporting disclosures

	Private equity Kshs'000	Quoted equity Kshs'000	Real estate & infrastructure Kshs'000	Total Kshs'000
Company				
Period ended 30 September 2012				
Depreciation and amortisation	799	1,066	1,066	2,931
Motor vehicle and equipment	9,370	12,494	12,494	34,358
Intangible assets	379	504	504	1,387
Additions to motor vehicle and equipment	2,754	3,694	3,694	10,142
Additions to intangible assets	50	65	65	180

4 INCOME

(a) Total investment income

	GROUP Period ended 30 September 2012 Kshs'000		COMPANY Period ended 30 September 2012 Kshs'000	
	2012 Kshs'000	2011 Kshs'000	2012 Kshs'000	2011 Kshs'000
Dividend income	104,752	119,387	227,050	298,115
Rent income	3,693	3,193	-	1,998
Interest income	72,736	18,071	61,784	18,071
Gain on disposal of investments	302,980	563,776	241,686	180,970
Unrealised gains on revaluation of property	145,000	-	-	-
Unrealised gains on revaluation of bond portfolio	48,872	-	14,878	-
Directors fees	3,642	2,877	3,641	2,877
Other income	67,621	21,048	576	20,873
	<u>749,296</u>	<u>728,352</u>	<u>549,615</u>	<u>522,904</u>

(b) Dividend income

Associates	-	-	137,572	179,769
Unquoted investments	53,460	53,460	53,460	53,460
Quoted investments	51,292	65,927	36,018	64,886
	<u>104,752</u>	<u>119,387</u>	<u>227,050</u>	<u>298,115</u>

Notes (continued)

5 INVESTMENT IN ASSOCIATES

	GROUP		COMPANY	
	At 30 September 2012 Kshs'000	At 31 March 2012 Kshs'000	At 30 September 2012 Kshs'000	At 31 March 2012 Kshs'000
At start of period	3,614,550	3,377,306	7,128,721	6,230,521
Share of results before tax	418,467	850,937	-	-
Share of tax	(102,332)	(256,901)	-	-
	<u>3,930,685</u>	<u>3,971,342</u>	<u>7,128,721</u>	<u>6,230,521</u>
Share of movements in equity reserve	(10,214)	(91,117)	(431,324)	882,934
Dividends received	(224,951)	(280,941)	-	-
Acquisitions during the period	361,130	15,266	361,130	15,266
At end of period	<u>4,056,650</u>	<u>3,614,550</u>	<u>7,058,527</u>	<u>7,128,721</u>

6 CASH AND CASH EQUIVALENTS

For the purpose of the statement of cash flows cash and cash equivalents comprise:

	GROUP		Company	
	At 30 September 2012 Kshs'000	At 31 March 2012 Kshs'000	At 30 September 2012 Kshs'000	At 31 March 2012 Kshs'000
Call deposits (maturing within 90 days)	180,000	310,000	180,000	310,000
Bank balances	3,228,464	12,410	3,211,654	7,340
	<u>3,408,464</u>	<u>322,410</u>	<u>3,391,654</u>	<u>317,340</u>

Notes (continued)

7 BORROWINGS

The borrowings are made up as follows:

	GROUP & COMPANY	
	At 30	At 31
	September	March
	2012	2012
	Kshs'000	Kshs'000
<u>Non-current</u>		
Bond	3,149,287	-
Bank borrowings	666,667	1,000,000
	<u>3,815,954</u>	<u>1,000,000</u>
<u>Current</u>		
Bank borrowings	333,333	-
	<u>333,333</u>	<u>-</u>
Total borrowings	<u>4,149,287</u>	<u>1,000,000</u>

At 30 September 2012 the Group had undrawn committed borrowing facilities amounting to Kshs 1,000,000,000 (31 March 2012: Kshs1,200,000,000). The long term loan facility is secured by a floating charge over all the listed securities.

The Company has successfully raised KShs 3,149,287,000 five year debt through an issuance of senior unsecured fixed rate notes and senior unsecured equity linked notes by way of private placement. The fixed rate notes are at a fixed interest rate of 13.5% per annum payable semi-annually whilst the equity linked notes are at a fixed rate of 12.75% per annum payable semi-annually, and enjoy an equity upside linked to the growth of the Company's Net Asset Value subject to a maximum of 15% of the par value of the notes. The fixed rate notes constituted 61% of the amount raised while the equity linked notes were 39% of the notes raised.

8 CONTINGENCIES AND COMMITMENTS

The Company has investments in four of the six bottling companies in Kenya. On 26 October 2012, the bottling companies lost a case against the Kenya Revenue Authority (KRA) relating to payment of excise tax on returnable containers. KRA had made an assessment amounting to Kshs 5.62 billion in tax arrears.

The bottling companies intend to lodge an appeal against the ruling and have in the mean time obtained conservatory orders from the Court maintaining the status quo/staying any adverse action as the notice of the appeal is filed. An initial assessment by the Directors of the respective bottling companies is that they have a strong case and the likelihood of succeeding in the appeal is high. However, should the appeal process fail, the outcome is likely to adversely impact the performance of the four bottling companies and as a result negatively impact Centum Investment Company Limited's future performance.

Appendix I: Principal shareholders

Principal shareholders as at 30 September 2012

Rank	Name	Residence	Number of Shares	% Holding
1	Industrial & Commercial Development Corporation (ICDC)	Kenya	152,847,897	22.97%
2	Christopher John Kirubi	Kenya	116,317,306	17.48%
3	Kiruma International Company Limited	Kenya	32,102,282	4.82%
4	CFC Stanbic Nominees limited. A/c R48701	Kenya	31,764,324	4.77%
5	International House Limited	Kenya	11,135,313	1.68%
6	Uganda Securities Exchange	Uganda	9,900,000	1.49%
7	The Jubilee Insurance Company of Kenya Limited	Kenya	5,222,190	0.78%
8	CFC Stanbic Nominees Limited. A/c R48703	Kenya	4,972,858	0.75%
9	CFC Stanbic Nominees Limited A/C R030624	Kenya	4,942,945	0.74%
10	John Kibunga Kimani	Kenya	4,715,521	0.71%

Shareholding Spread

Volume	Number of Shares	% Holding	Number of Holders
1-500	2,314,952	0.35%	11,350
501-5,000	38,036,335	5.72%	18,620
5,001-10,000	24,288,024	3.65%	3,402
10,001-100,000	90,914,044	13.66%	3,686
100,001-1,000,000	92,963,112	13.97%	357
>1,000,000	416,925,247	62.65%	37
	665,441,714	100%	37,452

Appendix II: Statement of cash flows presented in conformity with Centum Investment Company Limited's business model

	Period ended 30 September	
	2012	2011
	Kshs'000	Kshs'000
Operating inflows		
Dividend income	264,005	271,486
Rent income	3,693	3,193
Interest income	72,736	18,071
Other income	71,262	23,925
Proceeds from disposal of investments	950,799	3,507,905
	<u>1,362,495</u>	<u>3,824,580</u>
Operating outflows		
Operating and administrative expenses	(125,786)	(156,945)
Taxes paid	(13,910)	(1,151)
Interest paid	(102,799)	(42,485)
	<u>(242,495)</u>	<u>(200,581)</u>
Internally generated funds	<u>1,120,000</u>	<u>3,623,998</u>
Investing activities		
Equity and investment property	(1,167,816)	(2,967,504)
Investment in motor vehicle and equipment	(10,282)	(1,335)
	<u>(1,178,098)</u>	<u>(2,968,839)</u>
Cash flows from financing activities		
Net proceeds from borrowings	3,149,287	-
Dividends paid to Company's shareholders	(1,130)	(527)
	<u>3,148,157</u>	<u>(527)</u>
Net increase in cash and cash equivalents	<u>3,090,059</u>	<u>654,633</u>
Movement in cash and cash equivalents		
At start of period	322,410	(981,204)
Increase in cash and cash equivalents	3,090,059	654,633
Exchange (losses)/gains on cash and cash equivalents	(4,005)	218,409
	<u>3,408,464</u>	<u>(108,162)</u>

---0000---